Stockbroking was a key shareholder in Buffalo Networks, the holding company that owned Tehelka.com.

Shankar Sharma, Radhakishan Damani, and Nirmal Bang were accused of acting in concert to hammer prices, and were the target of raids by the Income Tax Department and Enforcement Directorate. There were others who were raided too, but they were not so high profile. A SEBI probe found that entities related to Nirmal Bang and First Global had entered into synchronized trades to give an impression of heavy selling to beat down share prices. On appeal, Bang and Damani were able to prove that their trades were not large enough to depress prices and that they had not violated any rules. Sharma's ordeal continued for much longer.

All through March, Ketan's situation was getting worse by the day. The raids by investigating agencies and the consequent freezing of his bank accounts cut off his access to funds. Ketan asked brokers in Mumbai and Kolkata to buy stocks on his behalf and promised to pay them interest for holding the shares on his behalf. He also placed some of his stocks as collateral with these brokers for margin obligations.

Many in the market now felt he had become emotionally attached to the stocks whose prices he was going all out to support. Some claimed the promoters of the companies had beseeched Ketan to save their stocks, and he had agreed to oblige them, overestimating his own ability. The truth was simpler. Ketan tried to support the prices in an attempt to save himself. It was a desperate gamble, but he had little choice. When prices move up or down sharply, they tend to create self-reinforcing loops. Ketan was hoping that if he managed to stabilize the prices through small purchases, the selling pressure would ease and the prices would rebound, giving him some breathing space. The alternative was to dump his existing positions, but that would have caused prices to fall even more steeply, and he would still not be able to exit his positions fully. Sitting still and waiting for the selling fury to abate would not have helped either. With prices in a free fall, he would have to pay marked-to-market margins to the stock exchanges, which called for funds. In the marked-to-market margin system, an increase in the value of your outstanding positions gets you a credit in your account, while a decrease in the same requires you to deposit the difference as margin to the stock exchange.

In a final throw of the dice, Ketan chose to support the prices of his chosen stocks, hoping to arrest their slide at least temporarily. On CSE, his